

BK Group PLC

Investor Presentation

Q3 & 9M 2024

Disclaimer

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, government policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

Presenters



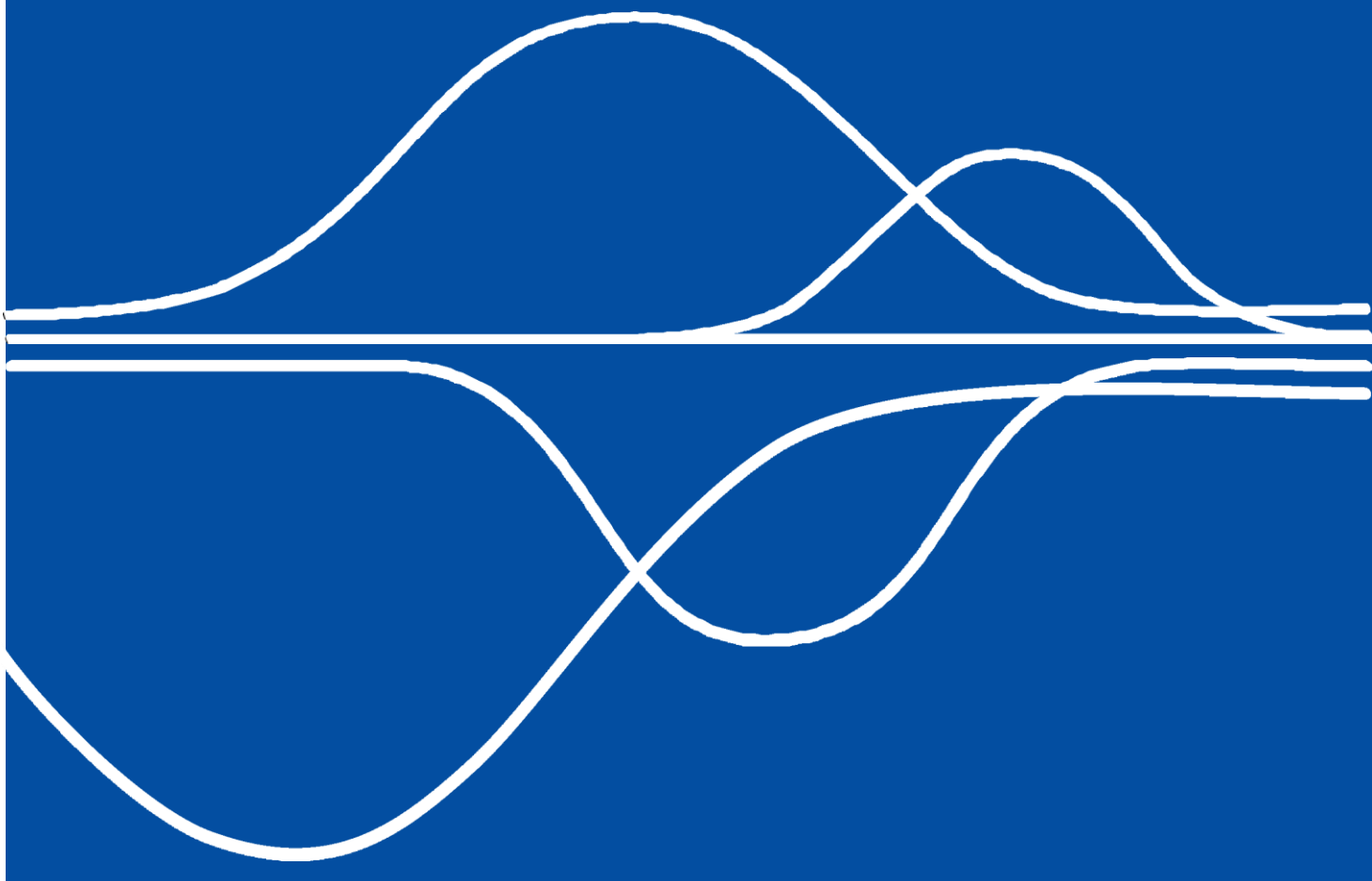
Dr. Uzziel Ndagijimana
BK Group CEO



Dr. Diane Karusisi
CEO of Bank of Kigali



Anita D. Umuhire
CFO of Bank of Kigali



01 Who We Are

About BK Group Plc

Financial Highlights

05 BK Group Plc' Diversified Business

- Environmental conservation
- Innovation
- Education



- Technology
- Connectivity
- Automation
- Advanced analytics
- Innovative digital solutions



- Corporate & Retail Banking
- SME
- Agriculture



- Advisory/Wealth Management
- Investment
- Corporate and advisory services
- Bonds and equity brokerage
- Pension fund administration



- Insurance (Non-life insurance)

06 What Drives Our Business

Our Vision

Transform the lives of our stakeholders by offering state-of-the art, customer-centric financial services

Our Mission

Delight our customers via deep knowledge of our region, cultivating engaged talent , and ground-breaking innovation

Our values

- Customer Focus
- Integrity
- Quality
- Excellence

Our Strategic Objectives



Innovative Culture and Employer of Choice for Top Talent



Data-Driven Customer Centricity



Efficient Process Automation along Customer Journey



Customer-Centric Product and Ecosystem Development



Assertive Customer-Focused Sales Team

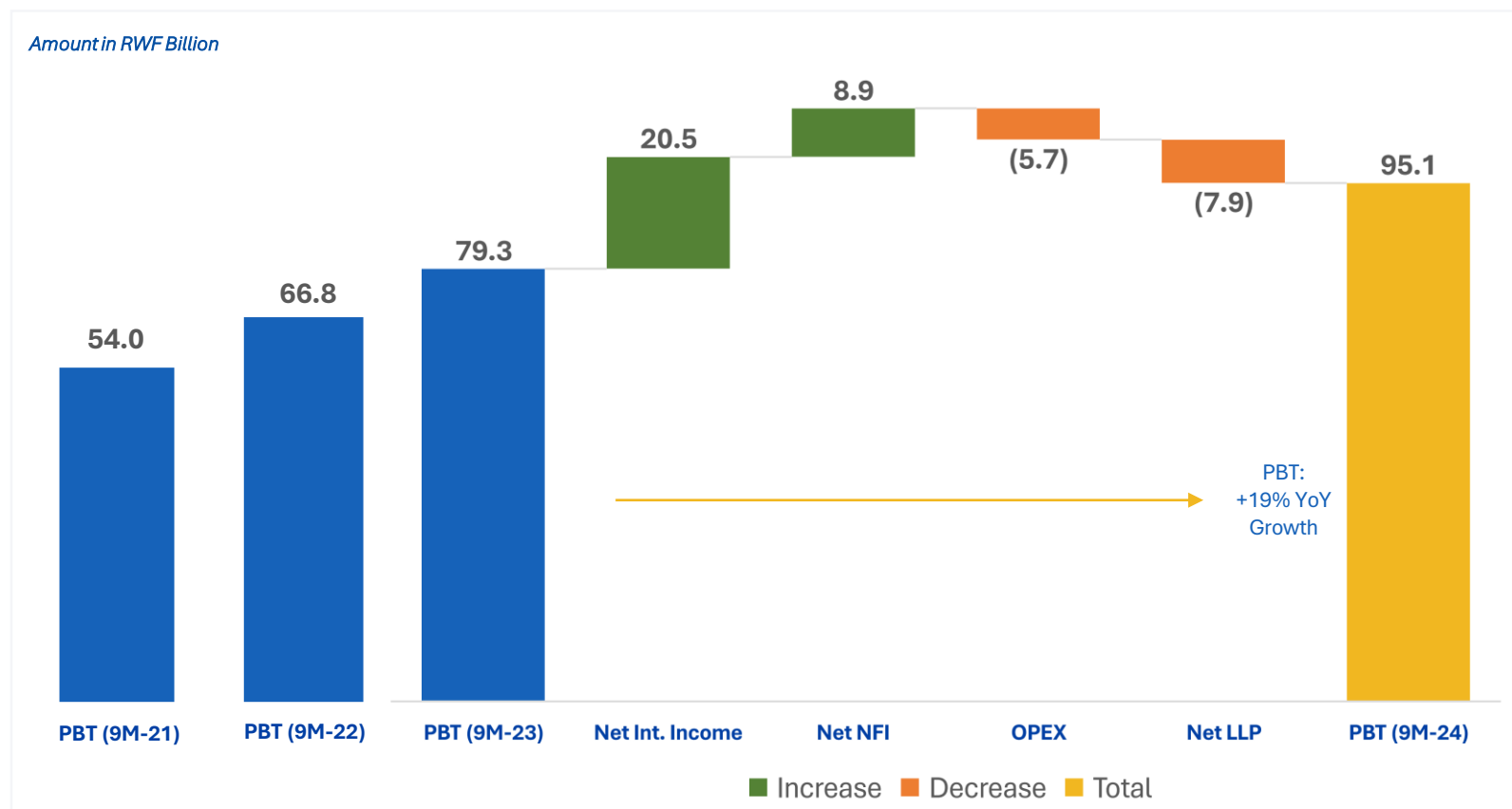
Q3/9M 2024 BK Group Financial Highlights

We delivered strong balance sheet outcomes, sustained top line growth and enhanced shareholder value

Sustained Growth	Profits & Margins	Enhancing Value
Total Assets: RWF 2,428 Bn (+14.6% YTD)	Profit After Tax: RWF 69.7Bn (+26.1% YoY)	Shareholder's Equity: RWF 420Bn (+14.6% YTD)
Loans & Advances: RWF 1,436Bn (+15.4% YTD)	Cost-to-Income Ratio: 37.9% (Q3-23: 42.0%)	Return to Equity: 23.6% (FY 2023: 21.8%)
Customer Deposits: RWF 1,542Bn (+12.2% YTD)	EPS of RWF 99.8 (Q3-23: RWF 79.2)	Return on Assets: 4.1% (FY 2023: 3.8%)

08 BK Group Consolidated Income statement – 9M 2024 Snapshot

We continue to deliver sustainable growth across key lines and enhancing shareholder value



- ✓ **Net interest Income** ↑17% YoY attributed to increase in loans and advances.
- ✓ **Insurance service revenues** ↑ 19% YoY, driven by increased earnings from current business and previously unearned premium reserves.
- ✓ **Non-Funded Income** ↑22% YoY, supported by strong performance in FX-related income and loan-related fees.
- ✓ **Interest expense** ↑ 19.9% YoY driven by deposit mobilization strategies – notably, term deposits 70.7% YoY.

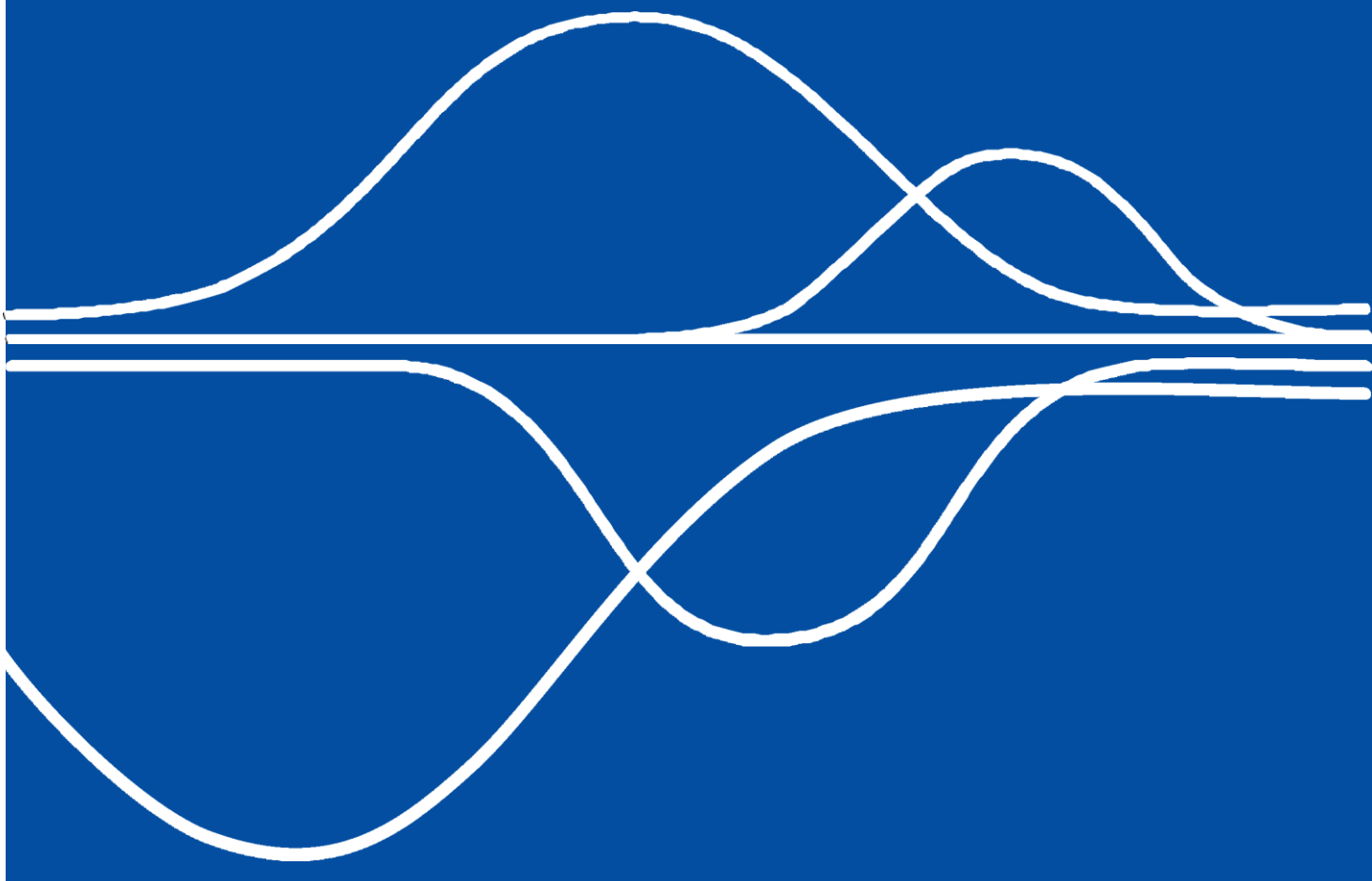
09 BK Group Consolidated Balance Sheet – 9M 2024 Snapshot

Well-funded, and diversified balance sheet (large % contribution from Bank of Kigali)

Rwf Billion	9M 2023	Dec-23	9M 2024	Change YoY	Change YTD
Net Loans To Clients	1,196	1,245	1,436	20%	15%
Other Fixed Income Instruments	221	218	302	37%	38%
Cash, Cash Balances with Banks & BNR	508	588	604	19%	3%
Other Assets	66	69	86	31%	25%
Total Assets	1,990	2,120	2,429	22%	15%
Interbank Deposits	205	195	249	21%	28%
Client Balances & Deposits	1,261	1,374	1,542	22%	12%
Borrowed Funds	108	104	114	6%	10%
Other Liabilities	69	81	104	49%	29%
Shareholder's Equity	347	366	420	21%	15%
Total liabilities & Shareholders' Equity	1,990	2,120	2,429	22%	15%

✓ **Loans and Advances** ↑ **15%** year to date growth is attributable to the enhancement of brand visibility and showcase our expanded products offerings.

✓ **Total Customer Deposit** ↑ **12%** year to date driven by increase of the Bank's customer base and confidence of existing clients banking with us.



02 Operating Environment

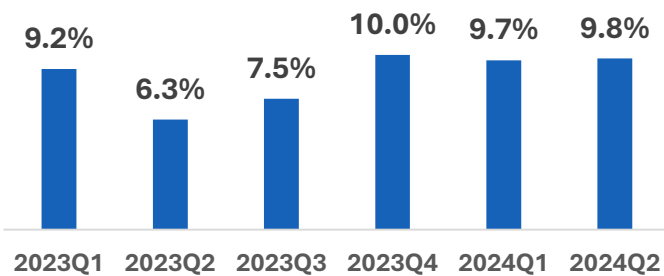
Macro-economic

Financial Sector Overview

11 The Rwandan Economy remains resilient

Stable and reaffirmed economic outlook, supporting industry's growth

Real GDP



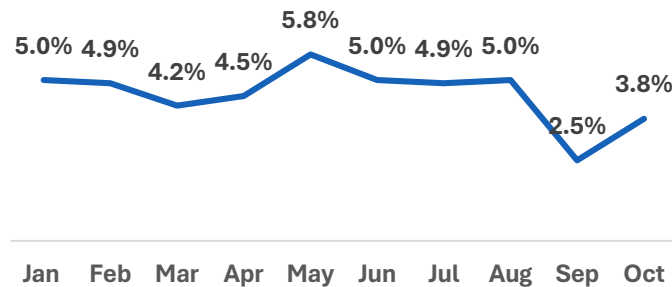
In 2024 Q2, **GDP growth was 9.8%**. Sectors performance:

- Agriculture increased by **7%**
- Industry increased by **15%**
- Services increased by **10%**

Main economic drivers:

- Telecommunication – 33% growth YoY
- Tourism – 20% growth YoY
- Construction – 18% growth YoY
- Financial Services – 10% growth YoY
- Trade & Transport – 10% growth YoY

Urban CPI (Annual Change)



Consumer Price Index(CPI) increased **by 3.8% YoY** in Oct-24 albeit lower to the average inflation rate of the year.

FY 2024 Outlook

- Headline inflation projected at **5.0%** due to easing food inflation as domestic agriculture returns to normal levels
- Core inflation expected to increase overall, driven by import costs, but anticipated to decrease by Q2 2025
- Energy inflation is forecasted to increase in 2024 in line with international oil price projections

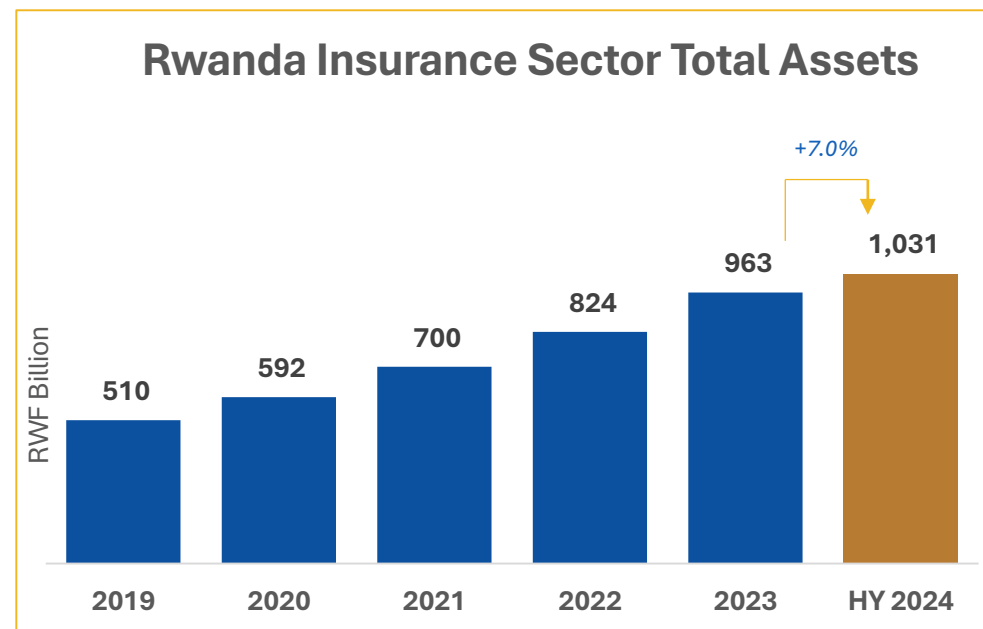
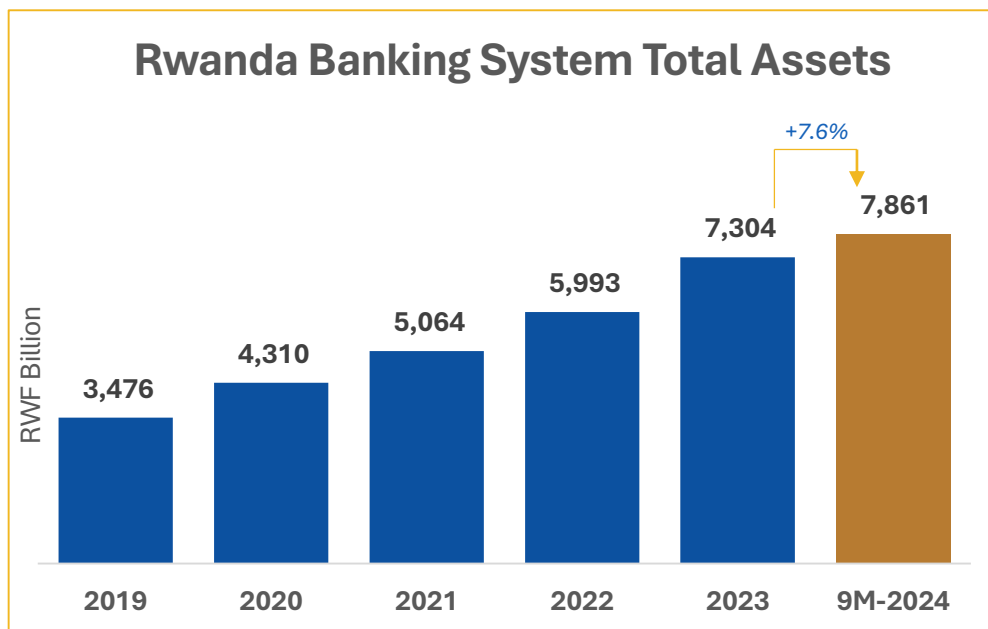
Currency performance (USD/RWF)



As of September 2024, the exchange rate for the RWF against US dollar stands at approximately 1 USD = RWF 1,340.07, reflecting a 3.70% depreciation since Jan 2024. Albeit a slower depreciation compared to 18% depreciation recorded in 2023.

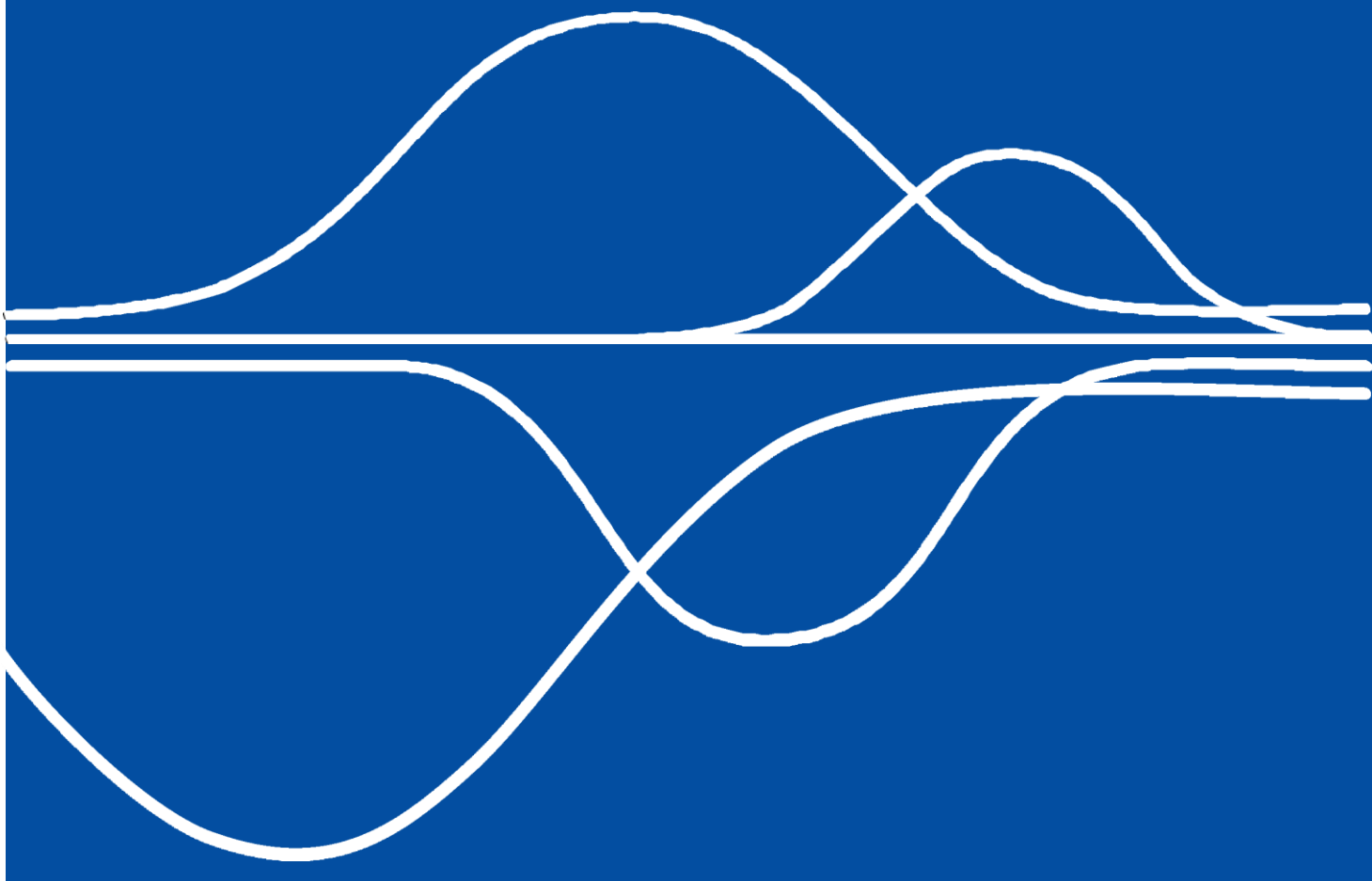
12 Financial Sector Overview

Strong & dynamic business environment, well-regulated with significant headroom for growth



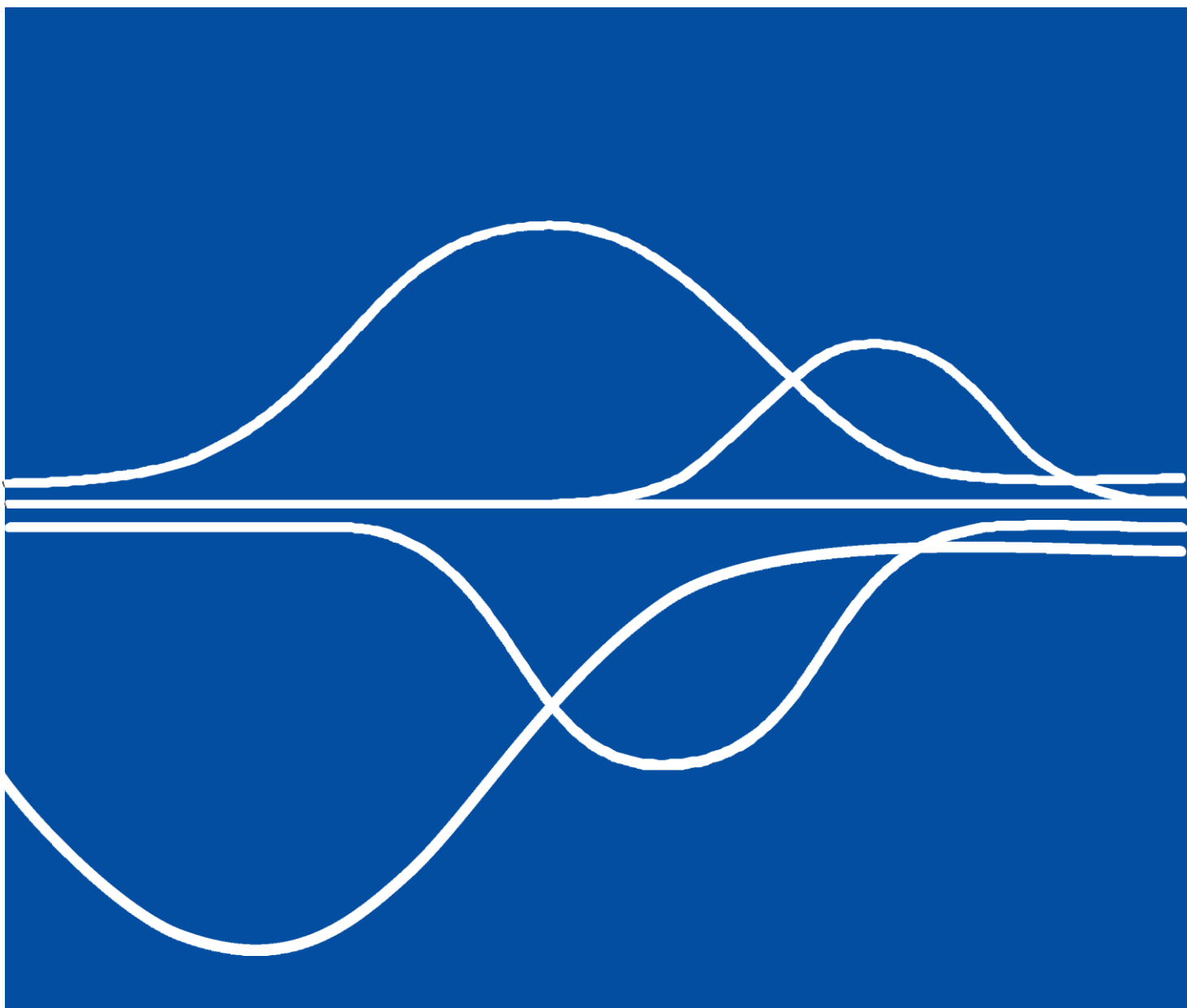
Key Highlights – The financial sector is expected to remain sound and stable.

- **Banking Sector Assets** grew by **7.6% to RWF 7,861 Billion over the six months ending June 2024**. Loans & Advances constitute 52% of the assets, followed by investments in government securities at 17.7%, and placements in other banks at 17.1%.
- The **Insurance Sector** also grew by **7% to RWF 1,031 Billion in the same period**. This was driven by higher investment income and improved underwriting performance. The sector's assets were mainly allocated in financial institution placements (41.6%), government securities (31.6%) and in equity investments (6.9%).



03 Financial Review

Subsidiary Financials & Related
Updates



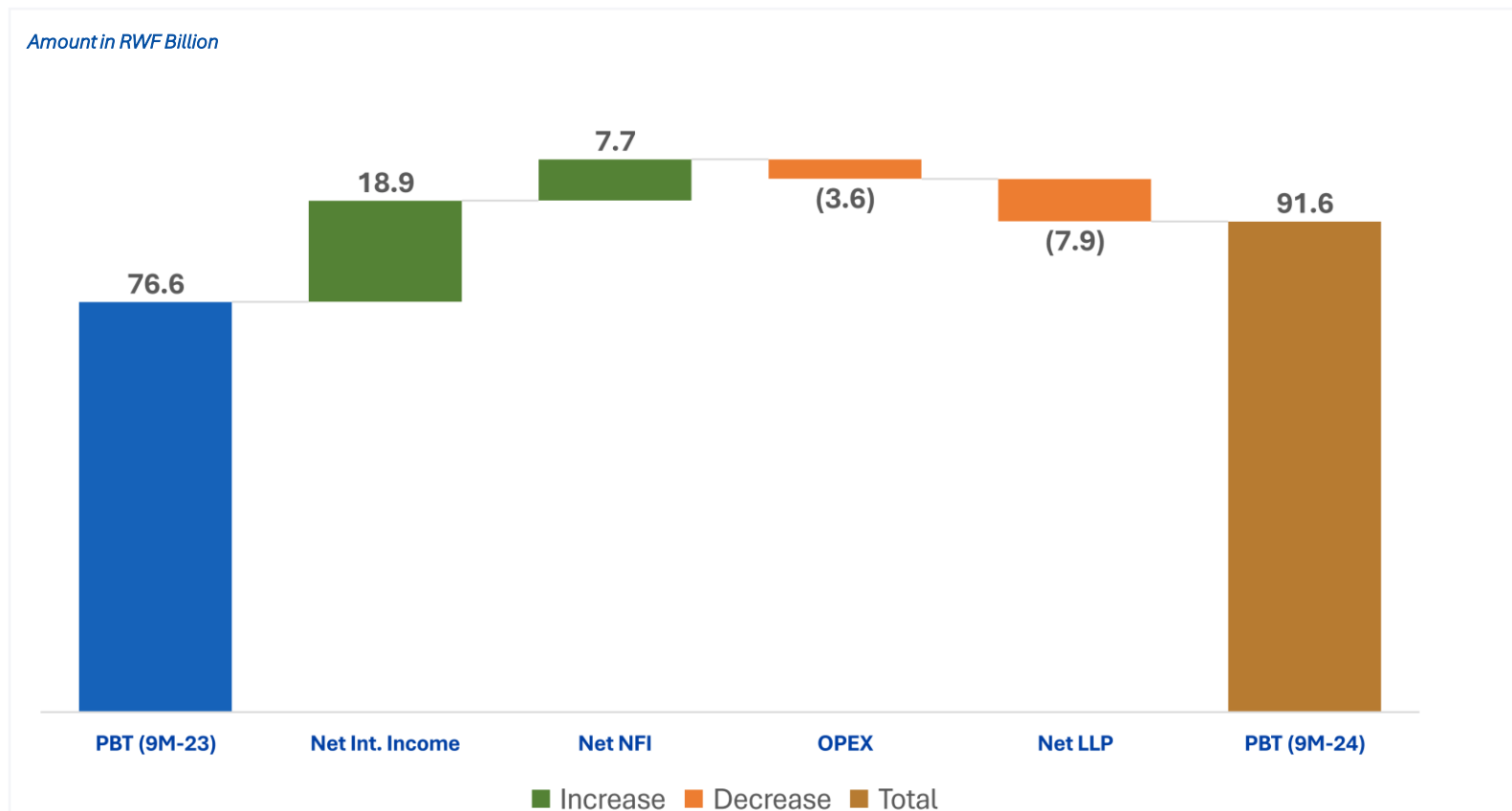
Bank of Kigali

Q3/9M 2024 Bank of Kigali financial highlights

We delivered strong balance sheet outcomes, sustained top line growth and enhanced shareholder value

Sustained Growth	Profits & Margins	Enhancing Value
Total Assets: RWF 2,365 Bn (+14.7% YTD)	Profit After Tax: RWF 67.6Bn (+24.3% YoY)	Shareholder's Equity: RWF 363Bn (+15% YTD)
Loans & Advances: RWF 1,436Bn (+15.4% YTD)	Cost-to-Income Ratio: 37.2% (Q3-23: 41.1%)	Return on Assets: 4.1% (3.9% in 2023)
Customer Deposits: RWF 1,556Bn (+12.1% YTD)	Net Interest Margin of 9.2% (Q3-23: 9.4%)	NPL Ratio: 4.8% (H1-24: 5.8% FY-23: 4.5%)

16 Bank of Kigali Income statement – 9M 2024 Snapshot



- ✓ **Net interest Income** ↑16% YoY attributed to the growth of the loans and advances by 15%
- ✓ **Non-Funded Income** ↑20% YoY, supported mainly by strong performance in FX-related income up by 64% year-on-year
- ✓ **Operating Expenses** ↑5.7% YoY trailing revenue growth of 17% YoY. The resulting positive jaws resulted in improved cost-to-income ratios

17 Bank of Kigali Balance Sheet – 9M 2024 Snapshot

Well-funded, and diversified balance sheet

Rwf Billion	9M 2023	Dec-23	9M 2024	Change YoY	Change YTD
Net Loans To Clients	1,191	1,245	1,436	21%	15%
Investments in securities/ bonds/ specialized funds	197	193	268	36%	39%
Cash, Cash Balances with Banks & BNR	511	581	604	18%	4%
Other Assets	44	43	57	30%	32%
Total Assets	1,942	2,063	2,365	22%	15%
Interbank Deposits	209	195	249	19%	28%
Client Balances & Deposits	1,269	1,387	1,556	23%	12%
Borrowed Funds	108	104	110	3%	7%
Other Liabilities	52	61	87	67%	42%
Shareholder's Equity	303	315	363	20%	15%
Total liabilities & Shareholders' Equity	1,942	2,063	2,365	22%	15%

✓ **Loans and Advances** ↑ **15%** year to date. Growth is attributable to our expanded products offerings across the SME & Retail segments.

✓ **Total Customer Deposit** ↑ **12%** year to date driven mainly by growth in Term Deposits and an increased share of wallet.

18 Bank of Kigali: Key Ratios

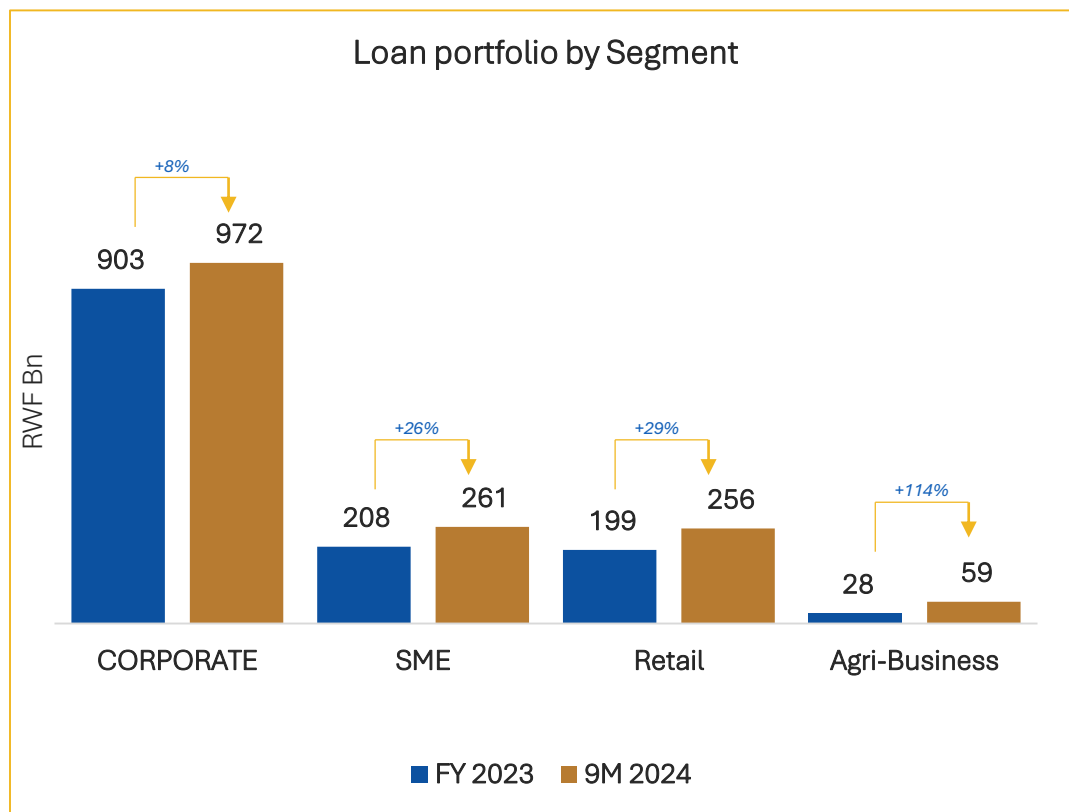
Compliance with regulatory benchmarks, highlighting operational resilience

Key Prudential Ratio	2020	2021	2022	2023	9M-2024
Cost/Income Ratio (CIR)	32.5%	36.3%	45.7%	42.8%	37.2%
Net Interest Margin (NIM)	10.7%	10.9%	9.7%	10.0%	9.2%
Return on Equity (ROE)	16.0%	20.3%	21.4%	25.2%	26.6%
Capital Adequacy Ratio (Tier 2)	22.6%	18.2%	22.6%	19.4%	18.5%
Cost of Risk	4.5%	3.4%	0.9%	1.5%	2.2%
Coverage Ratio	107.2%	124.1%	197.7%	106.3%	89.1%
Non-Performing Loans (NPL) Ratio	6.9%	5.3%	2.6%	4.5%	4.8%

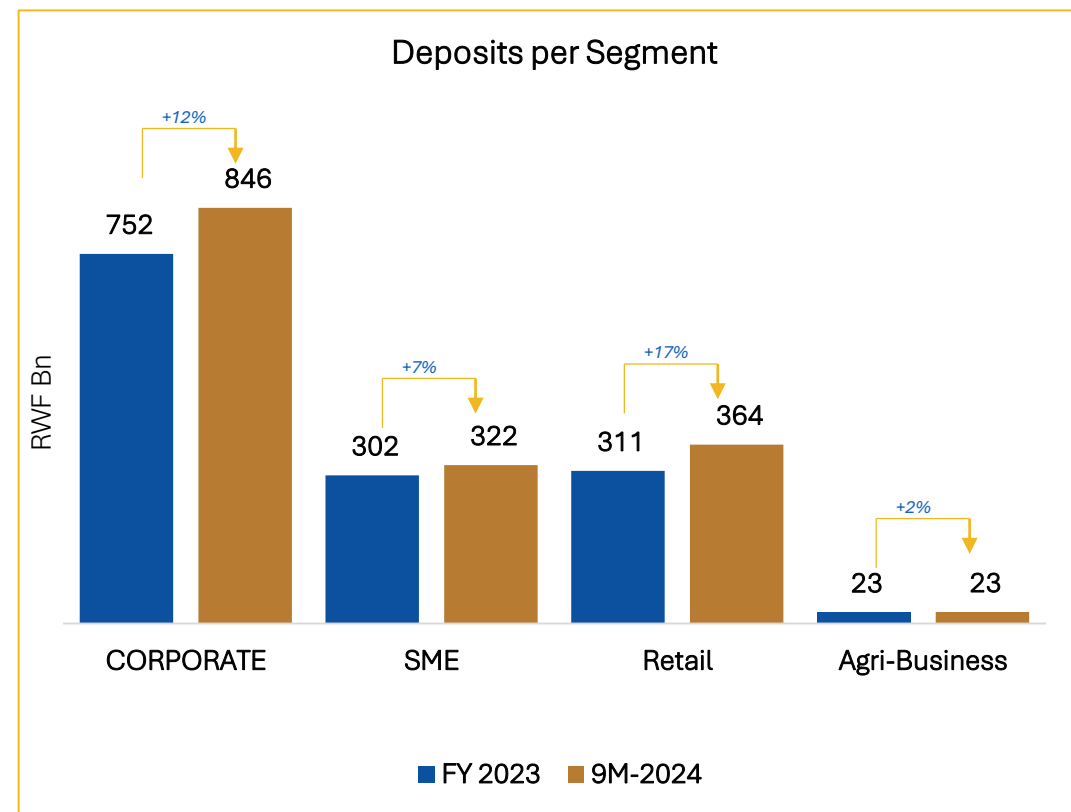
- Capital Adequacy Ratio (CAR) minimum regulatory requirement: **15%**
- NPL regulatory requirement: **<5%**.

- ✓ **CIR** improved to 37.2%, driven by better cost control and higher income generation
- ✓ **Net Interest Margins** contracted to 9.2%, highlighting tighter spreads due to evolving market dynamics
- ✓ **ROE** improvement underscoring strong profitability and efficient capital utilization
- ✓ **Capital adequacy** remains strong, well above regulatory requirements
- ✓ **Cost of Risk** increased due to increased provisioning
- ✓ **NPL Ratio** improving from 5.8% in 1H-24 due to improved performance of the loan portfolio

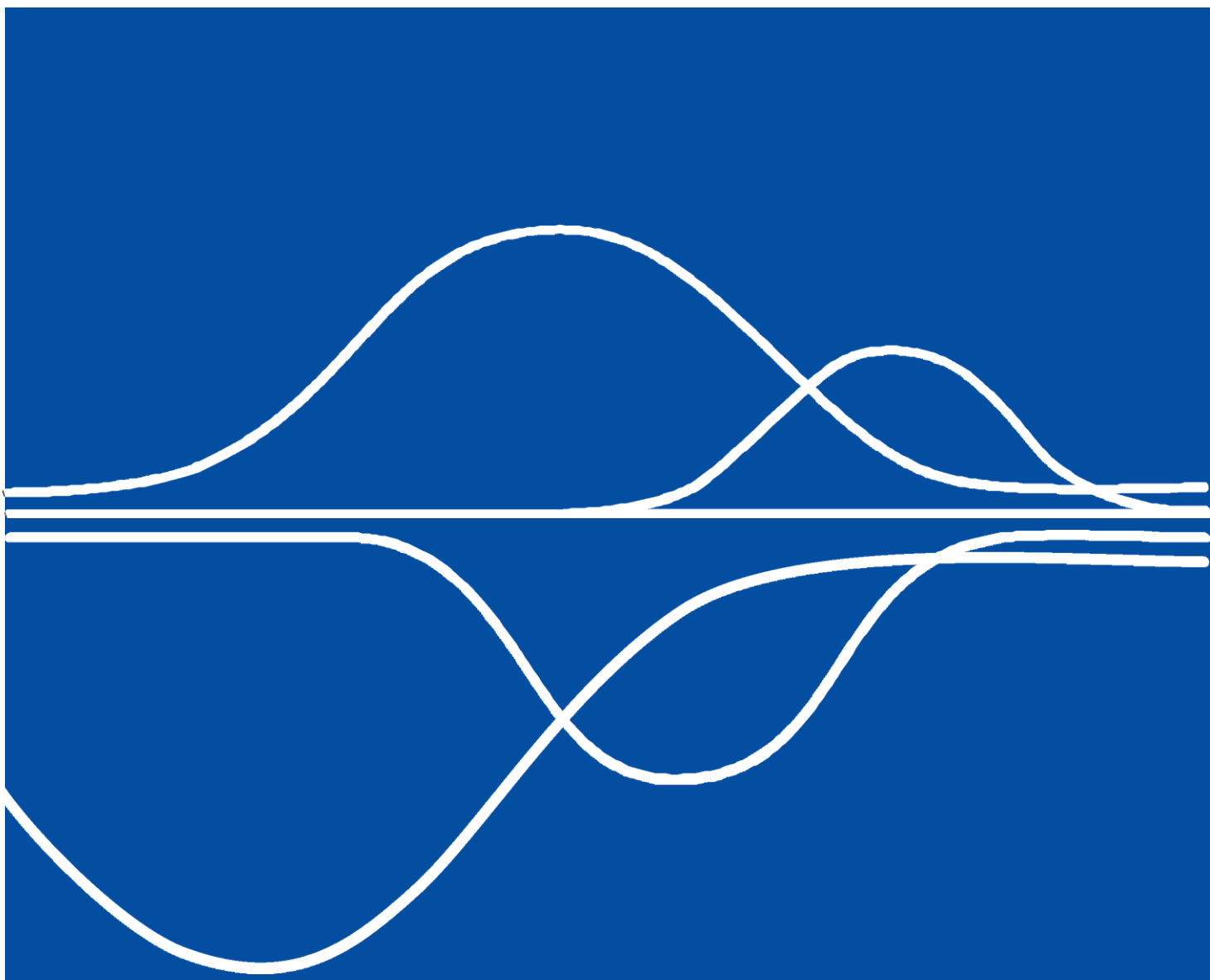
19 Business Segments Highlights – 9M 2024



Overall, Loans & Advances to customers increased by **15%** year-to-date compared to Dec-2023.



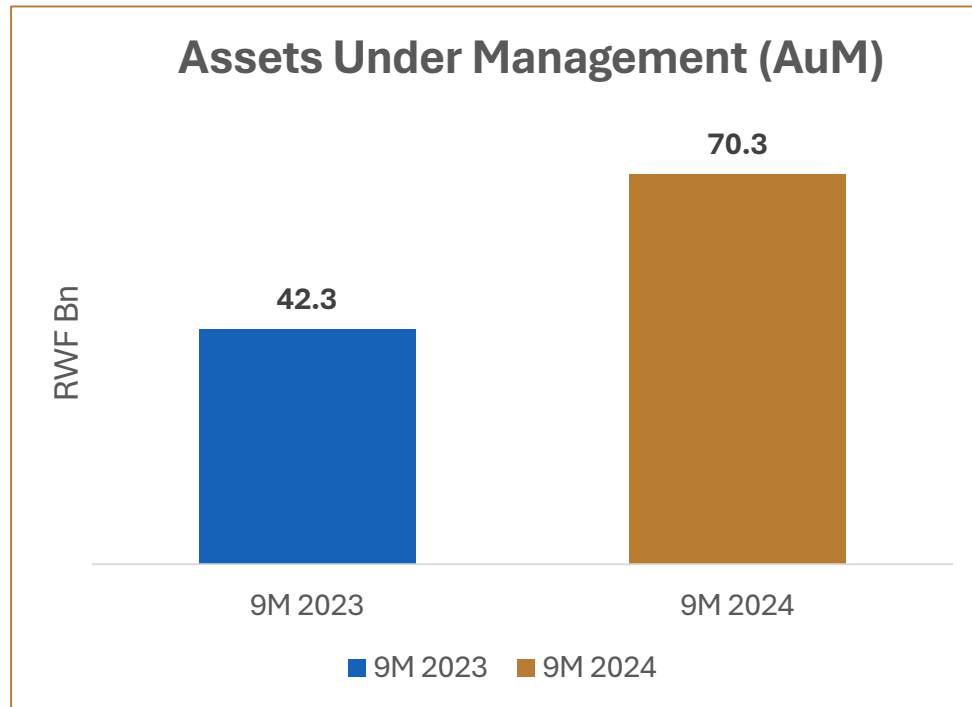
Overall, Deposits held for customers grew by 12% year-to-date compared to Dec-2023;

An abstract graphic consisting of several white lines on a solid blue background. A central horizontal line is flanked by two wavy lines that rise and fall symmetrically. To the right of this central structure, there are three more wavy lines that rise and fall in a staggered fashion, creating a sense of depth and movement. The lines are smooth and continuous, suggesting a fluid, organic form.

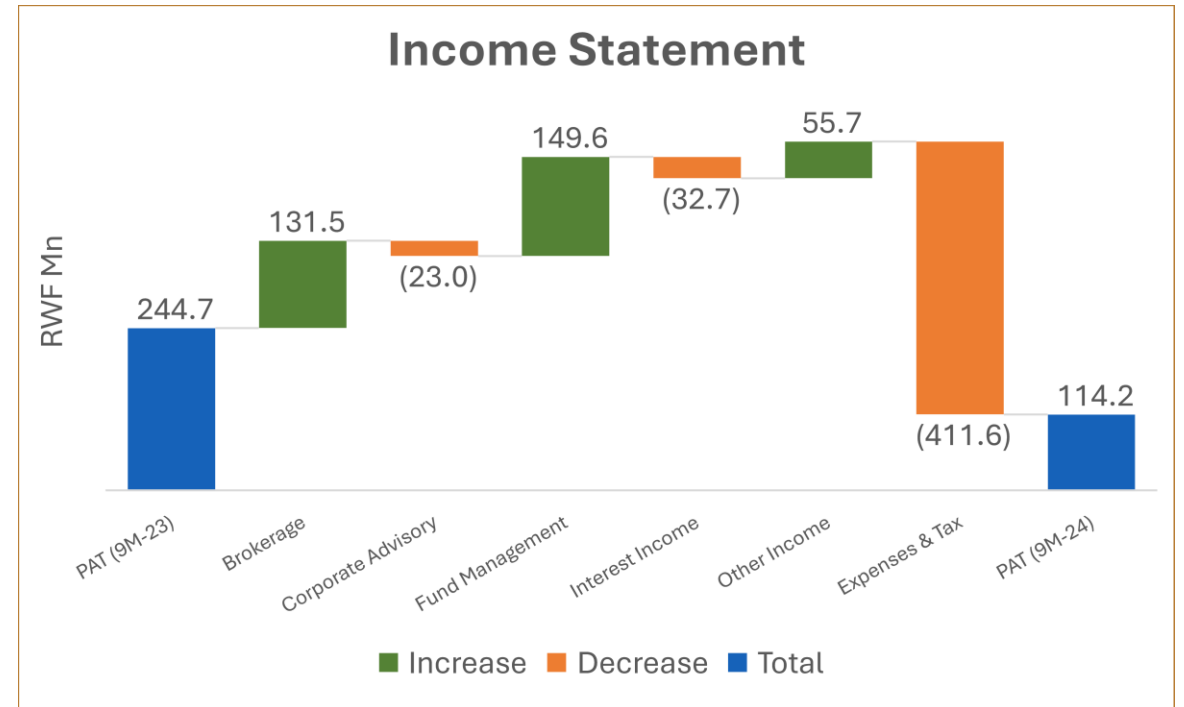
BK Capital

21 BK Capital

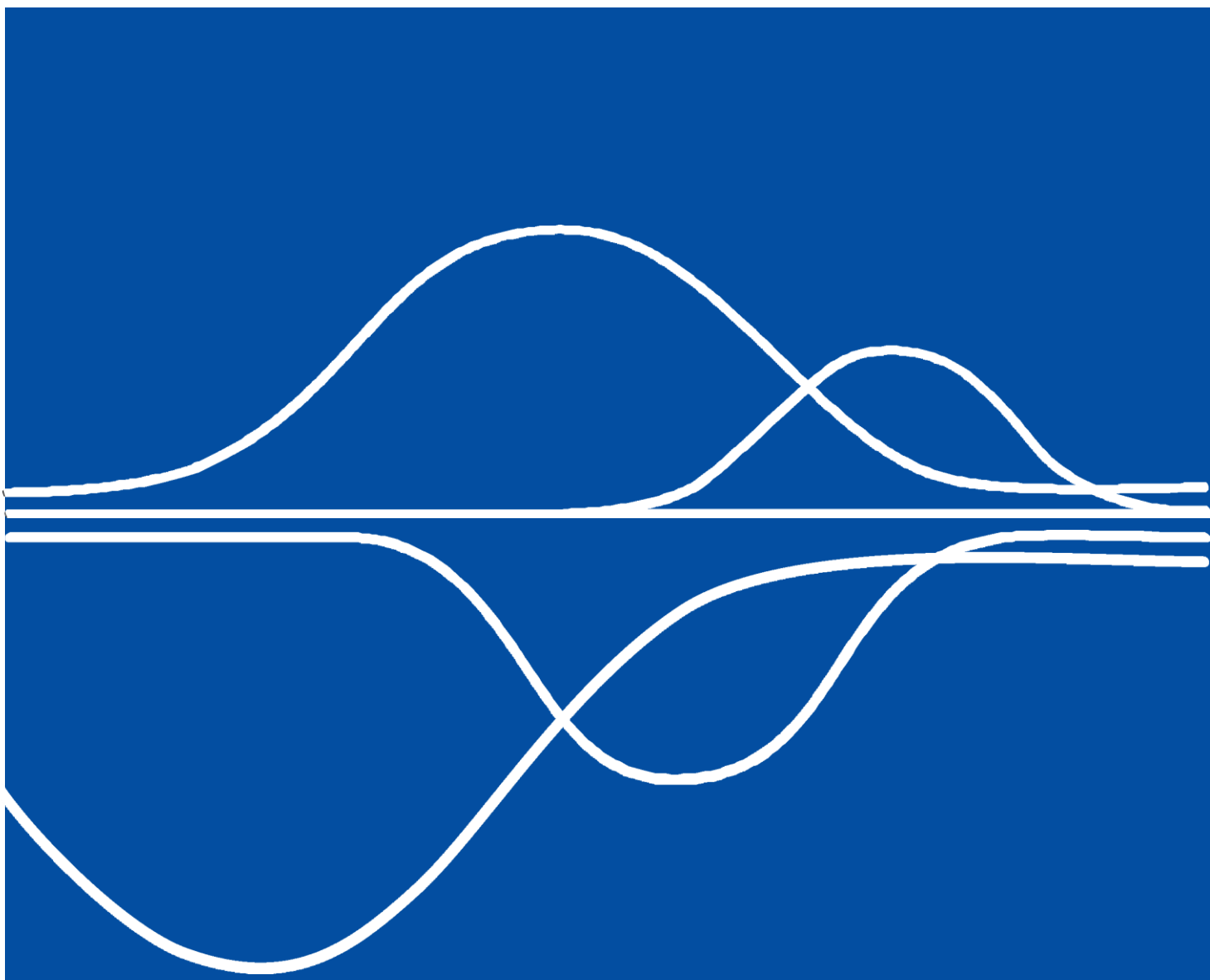
Revenue increased by 26% on the back of significant AuM growth



AuM grew by **66% YoY**, benefiting from acquisition of new clients, increased pension contributions and performance gains.



- **Revenue from brokerage and fund management** increased by **95%** and **42%**, respectively.
- **OPEX** increase driven by increased admin and staffing expenses.

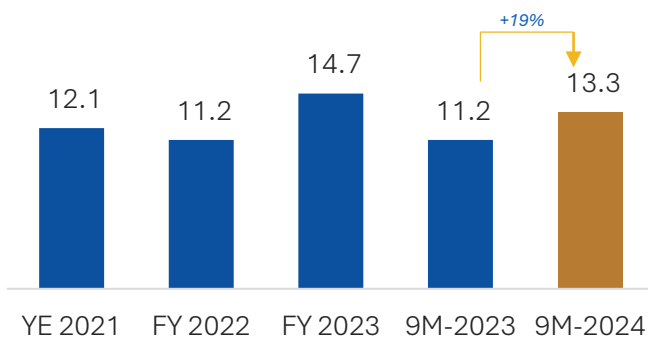
An abstract graphic consisting of several white lines on a blue background. A central horizontal line is flanked by two wavy lines that cross it. To the right of these, there are two more wavy lines that also cross the central line, creating a series of overlapping loops and curves that extend towards the right edge of the frame.

BK General Insurance

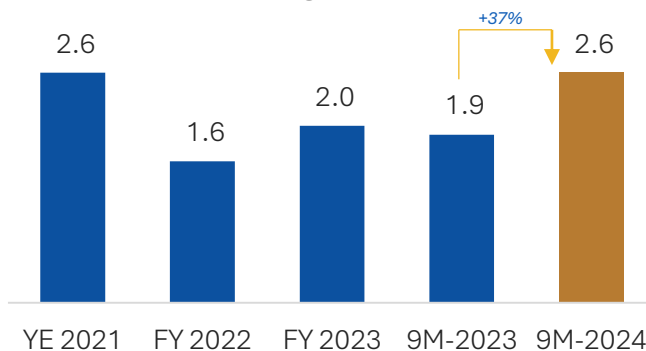
23 BK GI – Income Statement highlights

Underlying solid Performance in 2024 underpinned by strong underwriting results

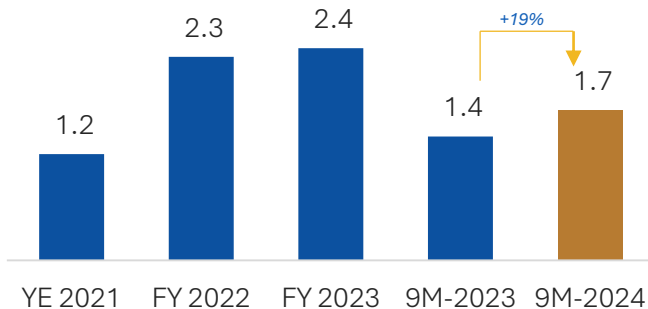
Gross Premiums, RWF Bn



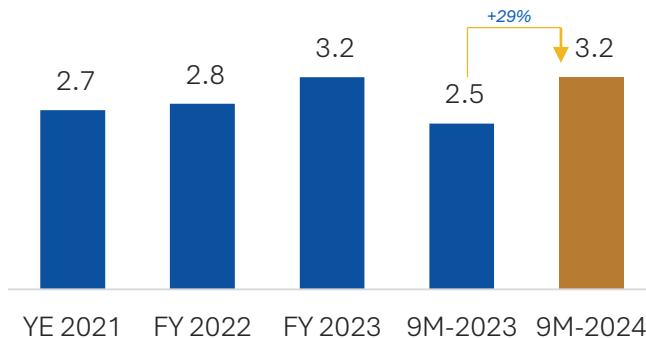
Underwriting Profit, RWF Bn



Investment Income, RWF Bn



Net profit, RWF Bn



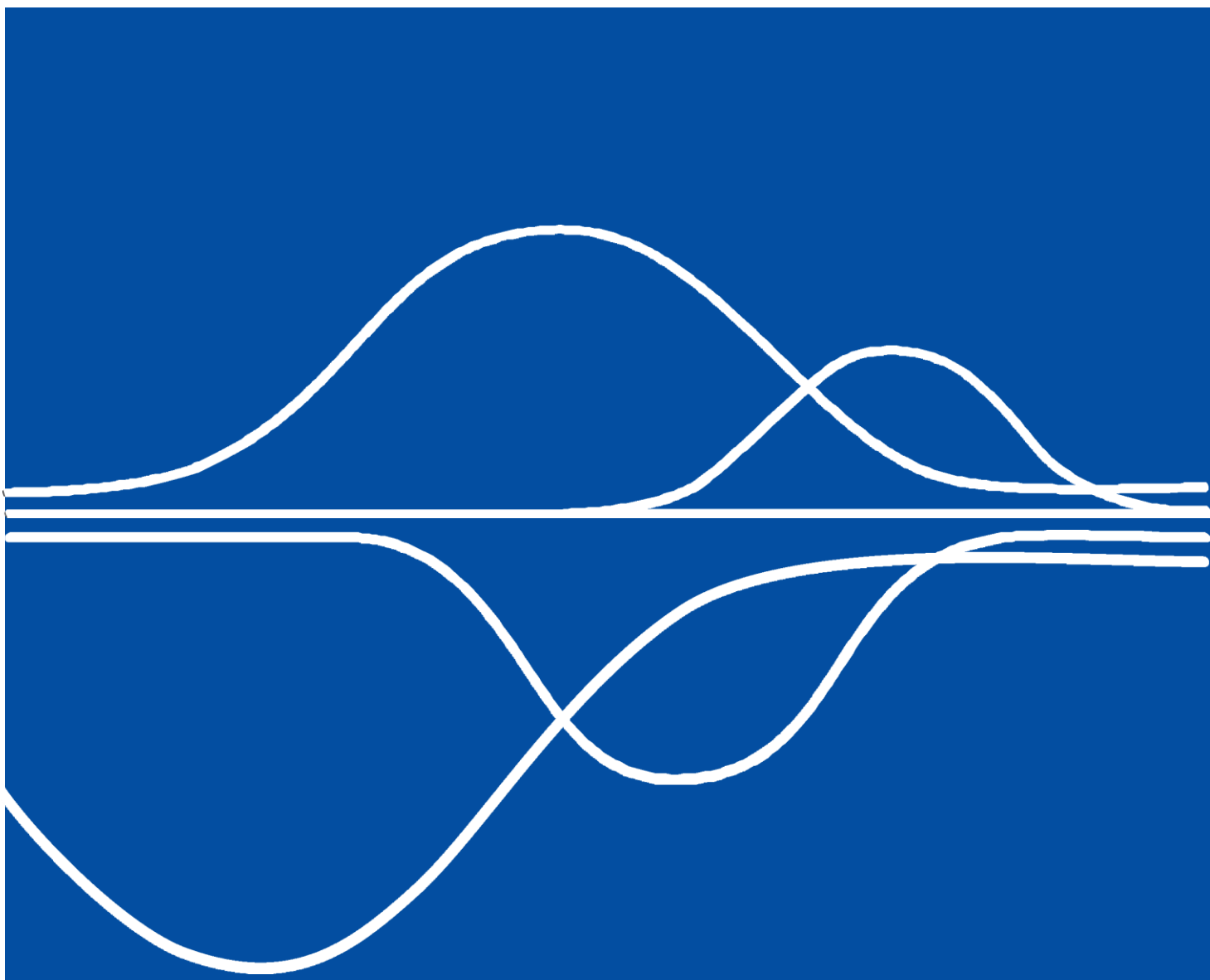
- ✓ **Gross written premiums** increased by **↑ 18.7%** compared to Q3 2023
- ✓ Cautious risk management is reflected in improving underwriting profit
- ✓ Overall profitability is further supported by a growing and conservative investment portfolio

24 BK insurance: Key Prudential Ratios

Compliance with regulatory benchmarks, highlighting operational resilience

Key Prudential Ratio	Sep-23	Dec-23	Sep-24	Regulatory Benchmark	Observations
Claims Ratio	41%	42%	43%	<65%	Compliant
Expense Ratio	28%	36%	26%	<30%	Compliant
Combined Ratio	66%	78%	69%	<95%	Compliant
Return on Equity (ROE)	24%	22%	23%	>6%	Compliant
Return on Assets (ROA)	13%	12%	12%	>4%	Compliant
Liquid (Quick ratio)	138%	142%	122%	>100%	Compliant
Solvency Margin Ratio	482%	502%	298%	>100%	Compliant
Risk-Based Capital (RBC)	208%	188%	136%	>130%	Compliant

- ✓ **Claims ratio** consistently below 65% required, reflecting strong underwriting discipline and risk management.
- ✓ **Expense Ratio** improved significantly to 26% from 36% in Dec-23, showcasing cost optimization.
- ✓ **Combined Ratio** remains favorable at 69% (Sep-24), highlighting effective claims and expense control.
- ✓ **ROE** and **ROA** remain robust at 23% and 12%, respectively, outperforming benchmarks of >6% and >4%.
- ✓ **RBC** remains above the >130% benchmark at 136%. The ratio compares capital available against the capital required

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BK Foundation

26 BK Foundation

Our strategic approach



Education



Innovation



Environmental
Conservation

9M 2024 Highlights

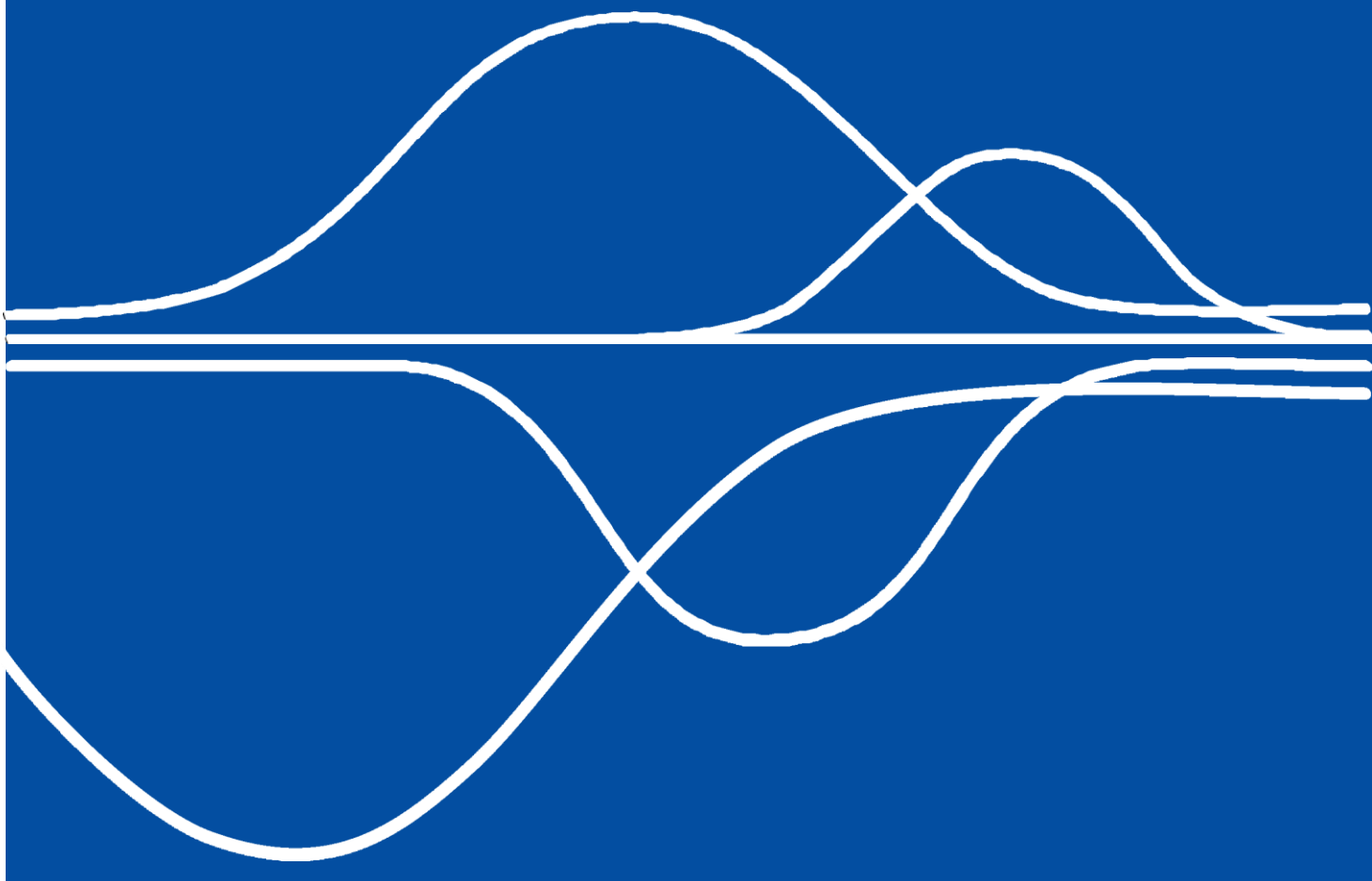
- ✓ **464 scholarships** awarded in 2024 through partnerships with Imbuto Foundation, Agahozo-Shalom Youth Village, & Igire
- ✓ **1,210 people** trained on financial literacy in partnership with iDebate and FESY
- ✓ **25 Women-led businesses supported** under BK Urumuri initiative in partnership with Inkomoko
- ✓ **6200 trees planted** by Q3 2024 aiding climate resilience and soil conservation.
- ✓ **100 jobs created** during the year through environmental and community initiatives
- ✓ Trainings conducted on **disability awareness & inclusion and on ESG principles** to embed sustainability practices.

27 BK Foundation – Strategic Partnerships Validating our Business Model



Partnership in pipeline

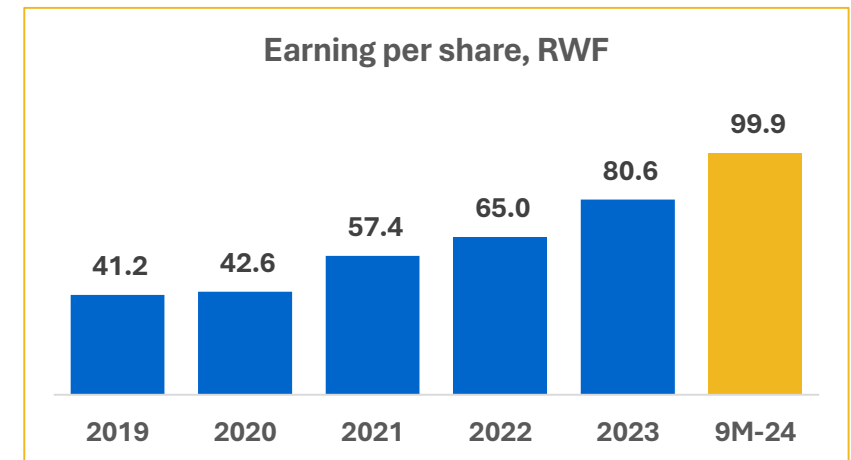
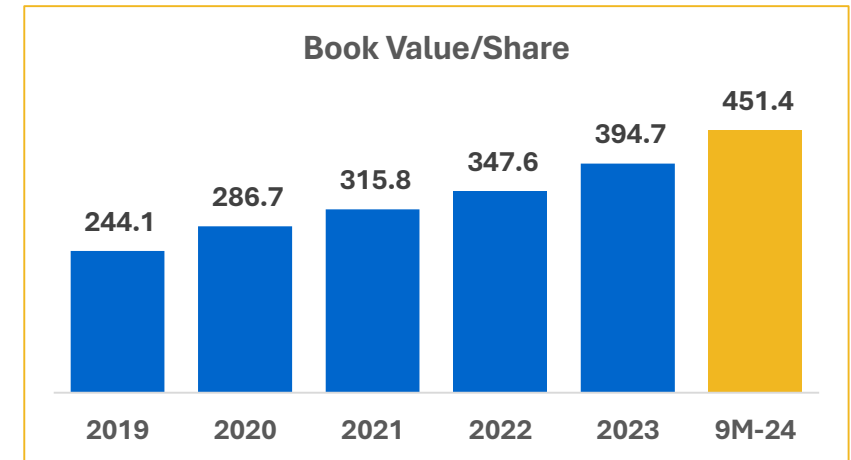




04 Trading & Stock Market Performance

29 Share Trading performance

	RSE	NSE
FRw 305 / KES 33.5 Q3 2024 Closing Price	\$211.8 m Market Cap ¹	\$53.1m Market Cap ²
930.5 million shares Common shares outstanding	2.99x P/E Q3 2024	2.8x P/E Q3 2024
8.6% Dividend yield, Q3 2024	0.7x P/BV Q3 2024	0.71x P/BV Q3 2024



Analyst Coverage



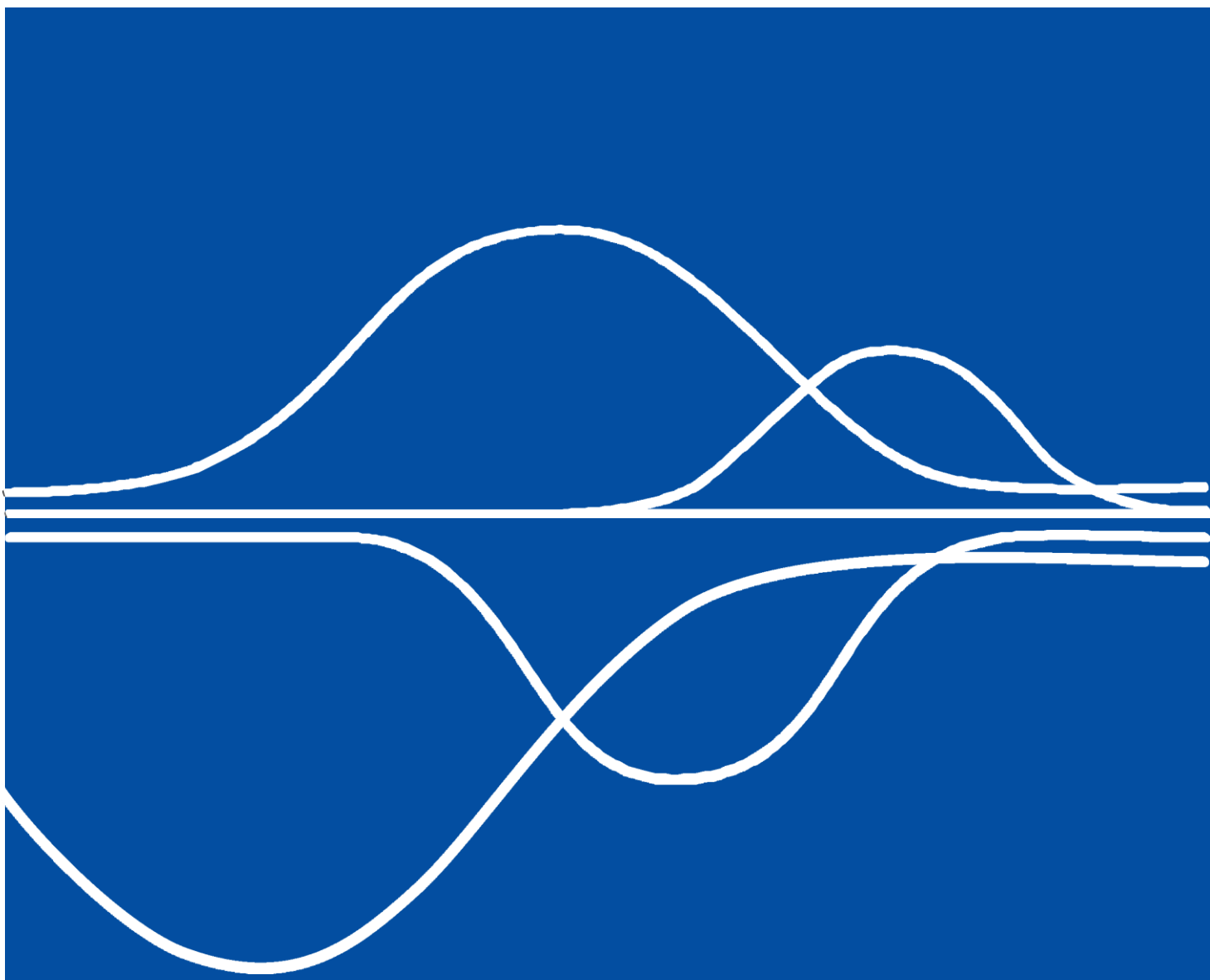
Recommendation: **BUY**
Target Price: **FRw 572**
Last coverage report: 31st May, 2024



Recommendation: **BUY**
Target Price: **KES 46.8**
Last coverage report: Feb 29th, 2024

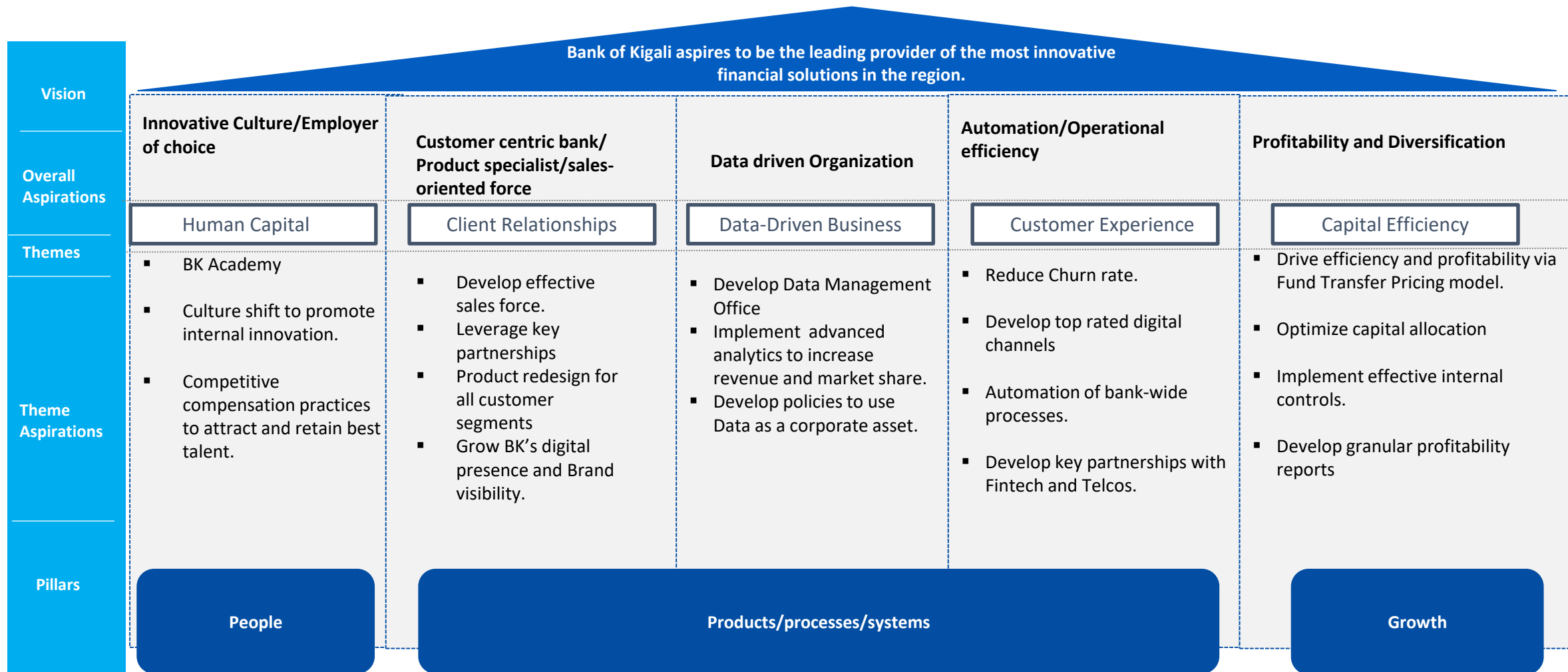


Recommendation: **BUY**
Target Price: **FRw 435**
Last coverage report: Sep 17th, 2024

An abstract graphic consisting of several white lines on a blue background. A central horizontal line is flanked by two wavy lines that rise and fall, and two more wavy lines that cross the central line and rise again. The lines are smooth and continuous, creating a sense of movement and flow.

Appendix

Bank of Kigali Strategy Plan



BK Insurance Strategy Plan

Vision	To be a leading provider of innovative, high quality Insurance services.			
Overall Aspirations	 Business Growth. 15% Annual Turn Over. Profitability: 4Bn End 2024.	Efficiency in Cost Management. Expense Ratio of 30%.	Customer Centricity. Become a Wow Company for customers.	Enhance Governance & Controls
Themes	Expanded Growth	Cost Control	Optimized Customer Experience	Operational Structures and Skills
Theme Aspirations	- Grow Agriculture Insurance to 20% of the Portfolio - Grow Fire Insurance to 17% of the Portfolio - Grow Engineering to 10% of the Portfolio 85% Retention of Customers - Grow Banc-assurance Revenue to at least 30% of the book - Train 30 Underwriting Agents Meticulous Claims Analysis Prudent risk assessment	- Agreements with Garages & Spare Parts Shops on prices - Prompt investigations on claims - Outsource skilled Loss Assessors to mitigate valuation risk - Maintain 30% ratio of operating costs - Automate process	- Digitize distribution channels (web portal and USSD) - Set up of an ERM and fully functioning Risk Unit - Risk surveys for big risks - Determine Risk Appetite framework - Own risk registers & train risk Champions.	- Establish a robust BOD with governance & insurance knowledge - Design development plan for key personnel - Support professional training - Fast Track teams with a long-term orientation - Empower key personnel
Foundational Issues	Distribution Channels: Brokers and Bank-Assurance	Systems, Processes, and Communication		People

BK Capital Strategy Plan

To be the most trusted financial partner offering Innovative financial solutions

Vision

Overall Aspirations

Placing product offerings in the best possible position to **increase market share** and **drive revenue**

Build strong relationships with customers and deliver customer experiences that lead to long-term loyalty.

Gain a competitive advantage by understanding customers better and deliver personalized experiences

Use of technology to streamline and optimize business processes creating efficiency, accuracy and enhanced customer experience

A culture that values and promotes innovation as a core component of the organization's strategy and success

Themes

Development of products that sell

Assertive customer-oriented sales force

Decisions based on customer data

Automation of processes

Innovative culture/ Employer of Choice

Theme Aspirations

- Launch LCY High Yield Money Market Fund
- Launch Private Debt Fund
- BK Capital to become a member of the International Valuation Standard Council, an independent global standard setter for the valuation profession

- Implementation of customer relationship management (CRM) system and sales force automation
- Partnership with Fintechs
- Increase the number of investment ambassador and distribution agents
- Improve lead generation process

- Consolidate and automate the business dashboard by implementing Power BI for business reporting through connection with existing systems
- Brand tracking through annual customer surveys and monitoring social media analytics

- Complete migration to more integration-friendly systems for all business lines to create new customer solutions
- Develop a client web portal to have basic self-service for clients such as sale and purchase requests, client statements, retirement and investment calculators, etc
- Automate compliance checks and reporting processes

- Introduction of competency assessments as part of bi-annual review understand culture and employee engagement
- Undertake organizational health assessment
- Establish an investment banking academy
- Implementation of Oracle Human Capital Management System

Foundational Issues

Strategic Partnerships

Systems & Processes

People

BK TechHouse Strategy Plan

Vision	Create innovative digital and Fintech that bring value to BK Group Plc.		
Overall Aspirations	 Scale up existing systems & innovate new systems to increase digital users up to 3,500,000	 Improve the company profitability through the Big Data and Fintech Business with a positive EBITDA starting from 2025	 Enhance governance and internal control systems
Themes	Innovative Digital Platforms	Growth Path	Meet the operational best practices
Theme Aspirations	Agriculture & Education - Expand core AgriTech and EduTech with new capabilities to enable BK Group to create business opportunity through digital products & services; Payments - Scale universal payment gateway offerings to new market segments Services & Manufacturing - Create new MIS solutions to drive user acquisition and enable BK Group to create business opportunity through digital products & services;	FinTech - Create Fintech capabilities that enables BK Group to leverage existing data to offer financial products & services; Big Data - Design Big Data Business Module and start monetizing developed Digital Platforms through below digital products portfolio: - Data as a Service (Data Access, Data Analytics etc.) - Credit Scoring Models to enable digital financial services Profitability - Maximize profitability and cash flow while maintaining annual business growth to 20% - 25%	- Internal control system via ISO 27001 and 9001 certified standards - Clear KPI management framework Strong & Implement the Performance management Framework - Efficiency in cost management
Foundational Issues	Public Private Partnership with RAB & NAEB	Impact of the new Data Protection Regulatory and Policy on the Big Data strategy	Strong operational structure

BK Foundation Strategy Plan

Vision

Positively transform the lives of all Rwandans, positioning Rwanda for a prosperous future

Overall Aspirations

The BK Foundation provides grant funding to charity organizations to help them achieve measurable impact for the empowerment of the Rwandan people.

Themes

Education

Innovation

Environmental Conservation

Theme Aspirations



- Early Childhood Development Centers
- Financial literacy training in high schools to Financial Literacy Programs
- Technical & Vocation skills training courses
- STEM – science, technology, engineering, math



- Local Entrepreneurs
- FinTech Disruption
- Start-up Business Pitch Competition



- Waste Management
- Pollution management / Natural resource management
- Greenspace in urbanization / Planting trees in rural areas
- Renewable Energy
- Conservation

Foundational Issues

Strategic Partnerships

BK Group Digital updates powered by BK TechHouse

Phase 1



Phase 2



Aguka Investment Fund (USSD)

BK Bank-Merchant Pay

Urubuto Parent Loan - BK Bank

BK Capital Investment Fund Web Portal

Third party Insurance Digitalization

- ✓ More than 5,000 user interaction and 122,000,000 RWF Collected.

- ✓ Available on BK APP, USSD live since August undergoing pilot.

- ✓ Access to loans for Parents. This has been delivered and is live since August 2024

Products: **Aguka, Tekana, Bonds and Shares**

- ✓ Investor (Customer) Portal complete
- ✓ BRD Sustainability linked bond application is completed.

On Hold

Thank You

For more information:



<https://bk.rw/about/financial-reports>



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